LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Loan Against Shares ?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Loan Against Shares

1.1 The Concept of Equity Refinancing

In modern commercial finance, a **Loan Against Shares (LAS)** represents a highly structured, revolving or non-revolving fund-based credit facility (usually formatted as a secured Overdraft or Term Loan) extended to individuals, promoters, holding companies, or corporate entities against the pledge of approved, listed equity shares.

Traditional credit underwriting relies on historical balance sheet solvency, physical asset mortgages, or projected operating profits. In contrast, Loan Against Shares operates on the **Liquidity Refinancing and Monetization Principle**. It allows equity asset owners to unlock the latent, stagnant capital tied up in their listed share portfolios without triggering a sale of the underlying securities. This provides immediate, low-cost liquid capital for working capital, promoter share acquisitions, or business expansion.

1.2 The Compounding Preservation and Tax-Avoidance Philosophy

The core wealth-maximization philosophy of Loan Against Shares lies in the **Dual-Value Retention Engine**:

1. **Compounding and Voting Rights Preservation:** By pledging the listed shares rather than selling them, the borrower retains 100% beneficial ownership of the securities. This means the borrower continues to receive all corporate benefits, including **cash dividends, stock splits, bonus shares, and right issues**, while preserving their voting rights and strategic control over the enterprise (of paramount importance to corporate promoters).
2. **Capital Gains Tax Optimization:** Under the Income Tax Act, 1961, the physical sale of equity shares triggers immediate capital gains tax liability (Short-Term Capital Gains - STCG under Section 111A at 20%, or Long-Term Capital Gains - LTCG under Section 112A at 12.5% on gains exceeding Rs 1.25 Lakhs). Refinancing the equity portfolio through a structured loan does not constitute a “transfer” of assets under Section 2(47) of the Act. Consequently, the transaction is entirely tax-neutral, allowing the borrower to utilize 100% of the loan-to-value (LTV) capital without any tax leakage.

1.3 Underwriting Focus: Standalone Solvency vs. Security Velocity

Unlike traditional term loans where credit risk is heavily tied to the borrowing entity’s standalone financial health, Loan Against Shares shifts the credit risk focus to **Security Velocity and Liquidity**. The underwriter evaluates: * The daily trading volume and liquidity of the pledged shares on the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) to ensure rapid, frictionless liquidation during market corrections. * The historical price volatility (Beta) and price-to-earnings (P/E) valuations of the underlying companies. * The concentration risk of the promoter’s holding (total pledged shares as a percentage of the promoter’s overall holding and the company’s free float).

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Module 2: Structural Taxonomy and Comparative Analysis (The Refinancing Matrix)

To master the mechanics of Loan Against Shares, financial professionals must analyze its structural positioning against alternative secured and unsecured debt products:

Credit Dimension	Loan Against Shares (LAS)	Loan Against Property (LAP)	Unsecured Business Term Loans	Cash Credit (CC) / Overdraft (OD) Lines
Primary Underwriting Focus	Real-time market value, liquidity, and trading velocity of the pledged listed shares.	Fair Market Value (FMV) of real estate, legal title clearance, and cash flow debt service capabilities.	Historical operating cash flows, balance sheet debt-to-equity, and promoter CIBIL score.	Monthly inventory stock values, debtor ageing, and Drawing Power (DP) statements.
Collateral Haircut & LTV	Strict statutory minimum **50.00% haircut (50% LTV maximum)** mandated by the RBI for listed shares.	Haircut ranges from 35% to 55% (**LTV of 45% to 65%** depending on residential or commercial property).	No physical collateral required; completely unsecured (or backed by CGTMSE cover up to 100%).	Haircut of 25% on inventory and 30% to 40% on debtors (**LTV of 60% to 75%**).
Turnaround Time (TAT)	Rapid: **2 hours to 48 hours** via CDSL/NSDL instant digital pledge integrations.	Slow: **10 days to 25 days** due to physical valuation and 30-year legal search reports.	Moderate: **2 days to 5 days** via automated credit bureau scoring and BSA.	Moderate: **5 days to 15 days** due to financial appraisal and factory stock audits.
Repayment Structure	Overdraft format with daily reducing balance interest; principal is revolving or paid via bullet at maturity.	Structured monthly or quarterly amortizing EMI (principal + interest) over the tenure.	Structured monthly EMI over a fixed, non-revolving amortization schedule.	Revolving limit; subject to monthly DP statements and annual credit review/renewal.
Turnover & Balance Sheet Treatment	Disclosed as secured short-term borrowings; interest represents a business borrowing expense.	Disclosed as long-term secured debt; amortizing liability on the balance sheet.	Disclosed as unsecured short-term or long-term borrowings under current/non-current liabilities.	Disclosed as secured short-term borrowings against current assets on the liability side.
CERSAI & ROC Filings	No CERSAI required (pledges registered	Mandatory CERSAI registration and ROC CHG-1	No collateral filings; corporate registration	Mandatory CERSAI and ROC CHG-1 registration

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Credit Dimension	Loan Against Shares (LAS)	Loan Against Property (LAP)	Unsecured Business Term Loans	Cash Credit (CC) / Overdraft (OD) Lines
	electronically with NSDL/CDSL); ROC CHG-1 mandatory for corporates.	filing within the 30-day statutory window.	under MCA for loan covenants if applicable.	within 30 days of charge creation.

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Module 3: The End-to-End Operational Lifecycle of LAS

The execution of a Loan Against Shares transaction utilizes real-time digital plumbing connected to India's central securities depositories (CDSL and NSDL) to create a highly secure, automated operational pipeline.

3.1 Phase 1: Portfolio Scrutiny and Haircut Sizing

The lifecycle begins when the borrower shares their demat holding statement. The lender runs an automated script to cross-reference the demat securities against the bank's **Approved Securities List**. Non-approved shares (such as highly volatile penny stocks, small-cap stocks with daily trading volumes below Rs 10 Lakhs, or shares with high promoter pledge ratios) are filtered out. The remaining approved shares are categorized based on market cap, and the statutory minimum **50% haircut** is applied to compute the maximum potential loan limit.

3.2 Phase 2: Underwriting and Scorecard Audit

The credit underwriter evaluates the borrower's profile. For retail borrowers, a personal bureau check is run (target promoter **CIBIL score > 700**). For corporate or promoter borrowers, the underwriting team evaluates: * The promoter's **CIBIL MSME Rank (CMR 1 to CMR 4)** to gauge operational credit hygiene. * Debt-Service Coverage Ratio (**DSCR > 1.25x**) and Interest Coverage Ratio (**ICR > 1.25x**). * Bank statement velocity using the **Account Aggregator (AA)** network to verify overall cash flow stability. * GSTR-3B matching to validate the operating revenues of the business.

3.3 Phase 3: CDSL/NSDL e-Pledge Integration

Once approved, the pledge is created electronically. The lender's system triggers an API call to the depository (CDSL or NSDL) where the borrower's demat account is held: 1. The borrower receives a secure Link and an OTP on their registered mobile and email. 2. The borrower authenticates the transaction, authorizing the depository to mark a **Lien/Pledge** in favor of the lender. 3. The pledged shares are electronically locked in the borrower's demat account. They cannot be sold, transferred, or withdrawn until the lender triggers an electronic "unpledge" request upon debt liquidation.

3.4 Phase 4: Overdraft Limit Account Setup

Upon confirmation of the pledge by the depository, the lender opens a dedicated **Secured Overdraft Account** for the borrower. The credit limit is linked to the market value of the pledged shares. Interest is computed strictly using the **daily reducing balance method**, tracking the exact negative balance outstanding at the close of each banking day:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Utilised\ Balance \times Annual\ Interest\ Rate}{365}$$

The borrower has the flexibility to draw down funds, repay, and redraw within the sanctioned limit, making it a highly cost-effective capital pool.

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3.5 Phase 5: Active Mark-to-Market (MTM) and Margin Management

Because listed shares are highly volatile, the lender's system performs an automated **Mark-to-Market (MTM) valuation** at the close of every trading day. If the share price drops, reducing the effective collateral value, the system triggers a automated margin alert: * **Margin Trigger (LTV rises to 55%):** The borrower is notified via email/SMS to deposit cash or pledge additional approved shares. * **Critical Foreclosure Trigger (LTV rises to 60%):** If the borrower fails to meet the margin call and the LTV hits 60%, the lender exercises its statutory foreclosure rights. The lender triggers an electronic sale of the pledged shares directly on the NSE/BSE to liquidate the outstanding debt. * **Pledge Release:** Upon full repayment of the debt, the lender submits an electronic "unpledge" request, immediately unlocking the shares in the borrower's demat account.

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Module 4: Underwriting Framework, Haircuts, and Key Credit Risk Metrics

Credit underwriting in Loan Against Shares requires a deep understanding of market risk and regulatory boundaries. Underwriters apply rigorous quantitative filters to protect the bank's capital.

4.1 Categorization of Securities and Haircuts

Lenders categorize listed shares based on market capitalization, trading volume, and volatility, applying specific risk margins:

1. **Category A (Nifty 50 Blue-Chip Shares):**
   - *Haircut:* **Strictly 50.00%** (minimum RBI regulatory floor).
   - *Characteristics:* High liquidity, low volatility, tight bid-ask spreads, and multi-crore daily trading volumes.
2. **Category B (Mid-Cap Approved Shares):**
   - *Haircut:* **55.00% to 60.00%** (LTV of 40% to 45%).
   - *Characteristics:* Moderate liquidity; approved only if promoter pledge is under 30% and free-float is above 40%.
3. **Category C (High-Beta / Small-Cap Approved Shares):**
   - *Haircut:* **65.00% to 75.00%** (LTV of 25% to 35%) or placed on the **Exclusion List**.
   - *Characteristics:* Highly volatile; accepted only as secondary collateral or in well-diversified baskets with a maximum single-stock exposure cap of 10%.

4.2 Scorecard Underwriting and Validation Metrics

To hedge against operational defaults and ensure interest serviceability, underwriters apply the following scorecard filters:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.
- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR):** Target ICR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the higher interest premiums associated with interim finance.

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- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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Module 5: Legal Framework, Security Creation, and Documentation

The viability of Loan Against Shares rests upon its legal enforceability, depositary laws, and the robustness of its security architecture.

5.1 Statutory Foundations in India

1. **The Depositories Act, 1996:**
   - This Act provides the legal framework for the dematerialization and pledge of securities. Under Section 12, a pledge of dematerialized securities is created by marking a lien in the depository's records (NSDL/CDSL). Once the depository confirms the pledge, it has the force of law, preventing the borrower from selling or transferring the securities.
2. **Section 172 of the Indian Contract Act, 1872:**
   - This section defines a **Pledge** as the bailment of goods as security for payment of a debt or performance of a promise. In the context of listed shares, the depository acts as the constructive bailee, holding the shares under lien for the benefit of the pledgee (the Lender).
3. **Section 130 of the Transfer of Property Act, 1882:**
   - This section governs the **absolute assignment of actionable claims**. When a borrower assigns dividend rights or other corporate distributions to a lender, the assignment is legally complete upon execution of a written deed of assignment.

5.2 Mandatory Documentation Covenants

- **Pledge Agreement / Demat Pledge Form (DPF):** The primary contract executed between the Borrower, Lender, and Depository Participant (DP). It authorizes the lender to mark the lien and gives the lender the unilateral power to sell the shares in the event of default.
- **Overdraft Agreement:** Establishes the commercial terms of the credit facility, including interest rates, processing fees, margin requirements, and renewal terms.
- **Irrevocable Power of Attorney (PoA):** The borrower executes an irrevocable PoA in favor of the lender, granting the lender the power to sell, transfer, or liquidate the pledged shares on the stock exchange to recover the outstanding debt upon a default event.
- **ROC Registration (Form CHG-1):** For corporate borrowers pledging shares (either their own treasury shares or promoter shares held in subsidiary accounts), the charge must be registered with the **Registrar of Companies (ROC) within 30 days** of charge creation.

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Module 6: Sectoral Sizing, Suitable Profiles, and Ecosystem Market Alignment

Loan Against Shares is a versatile corporate finance tool aligned with specific, high-net-worth profiles and transaction-heavy business models.

6.1 Suitable Customer Profiles and Use Cases

1. **Company Promoters (Promoter Funding):** Promoters of listed companies utilize LAS to raise large-scale capital to increase their equity stakes, fund capital expenditure in unlisted group companies, or execute strategic acquisitions, while preserving their voting power.
2. **High Net-Worth Individuals (HNIs) & SME Owners:** Business owners with substantial personal wealth tied up in listed equities use LAS to fund temporary working capital shortages in their unlisted operating companies.
3. **Retail and Wholesale Traders:** The largest segment of commercial borrowers in India, often utilizing their personal share portfolios to secure fast-track liquidity.

6.2 Working Capital Borrowing Trends in India

To align our credit modeling with national financial realities, underwriters must reference the following macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME Borrowing Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the Rs 10 Lakh to Rs 2 Crore exposure segment. This highlights the massive demand for transaction-backed working capital rather than traditional asset-heavy term loans.
- **Digital Public Credit Infrastructure:** Large public sector banks have established massive digital supply chain platforms to facilitate real-time working capital delivery. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributors with a portfolio size of **Rs 49,261 Crores**, automating drawdowns and inventory financing.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **Rs 28,092 Crores**, utilizing automated invoice discounting linked to corporate anchors.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Ratios, and Interest Tax Shields

The commercial pricing structure of Loan Against Shares reflects its highly secured, liquid nature. Because the collateral can be liquidated within seconds on the stock exchange, lenders offer highly competitive interest rates compared to unsecured debt.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Typically priced over the bank's **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate or the **Marginal Cost of Funds Based Lending Rate (MCLR)**. All-in interest rates for LAS range from **8.50% to 11.50% p.a.**, making it significantly cheaper than unsecured corporate term debt (14% to 18% p.a.).
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **0.25% to 1.00%** of the sanctioned limit.
- **GST Treatment:** Upfront processing fees, commitment charges, and legal appraisal costs attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt highly cost-effective.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business purposes is a fully deductible business expense. Borrowers utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for new manufacturing companies or **31.20%** for general corporates), reducing the effective post-tax cost of borrowing.

7.2 Financial Mathematics of Daily Reducing Balance

Traditional term loans charge interest on the entire disbursed principal. In contrast, a structured LAS Overdraft operates on a **daily reducing balance negative current account limit**. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Balance \times Annual\ Interest\ Rate}{365}$$

By sweeping customer payments into the overdraft account daily, the outstanding principal is immediately reduced, dramatically lowering the cumulative interest outdrawn over the tenure.

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Module 8: Regulatory Compliance, RBI Statutory Caps, and IRACP Asset Classification

Lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with RBI guidelines on loans against shares.

8.1 RBI's Statutory Caps on Loans Against Shares

To prevent excessive bank credit from fueling stock market speculation, the Reserve Bank of India (RBI) enforces strict statutory limits on loans against shares:

1. **Individual Borrowing Cap:**
   - For **Individual Borrowers**, a commercial bank can lend a maximum of **Rs 20 Lakhs** against dematerialized shares (and Rs 10 Lakhs for physical shares) under the Master Directions.
   - This individual cap is a strict regulatory limit designed to prevent speculative retail leverage.
2. **Corporate and Holding Company Exemption:**
   - **Corporate Entities, Holding Companies, Promoters, and Partnerships are completely exempt from the Rs 20 Lakhs individual cap**.
   - Banks can extend multi-crore Promoter Funding or Corporate LAS facilities (e.g., Rs 50 Crores to Rs 100 Crores) to corporate entities, provided the funds are used for approved business expansion, working capital, or strategic acquisitions, and not for stock market trading or speculation.
3. **Mutual Fund Exemption:**
   - Loans against **Mutual Fund Units** (Equity or Debt) are exempt from the individual share cap, allowing banks to lend up to Rs 1 Crore to Rs 5 Crores to individuals against mutual fund portfolios.

8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including LAS overdrafts), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.

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  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.

- **“Out of Order” Status for Overdraft limits:** An overdraft limit is classified as “Out of Order” (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.
- **The 180-Day Technical Review Default:** If a bank fails to review or renew an overdraft limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

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Module 9: Comprehensive Real-World Case Study (Mumbai Agro & Trading Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (Rs) modeling a structured Loan Against Shares transaction for an enterprise.

9.1 The Corporate Profile and Liquidity Crisis

- **The Borrower:** *Mumbai Agro & Trading Pvt. Ltd. (MATPL)*
- **Corporate Tax Rate: 25.17%** (under Section 115BAA of the Income Tax Act).
- **The Situation:** MATPL is a premium spice processing and export company. During the festive procurement harvest season, MATPL faces a sudden, high-volume raw material procurement opportunity valued at **Rs 3,00,00,000 (Rs 3 Crores)**. The spice farmers offer an upfront **15.00% cash discount** if the entire invoice is settled on Day 1.
- **The Collateral Asset:** The promoter of MATPL, *Mr. Rajesh Mehta*, holds personal blue-chip listed shares of *Hindustan Unilever Ltd. (HUL)* valued at **Rs 6,00,00,000 (Rs 6 Crores)** in his demat account.
- **The Challenge:** Mr. Mehta refuses to sell his HUL shares because:
    1. He expects HUL to pay a substantial dividend in 60 days.
    2. Selling the shares would trigger an immediate **12.50% Long-Term Capital Gains (LTCG) tax** on a gain value estimated at **Rs 3,00,00,000** (equivalent to a **Rs 37,50,000** tax liability).
    3. Standalone unsecured corporate loans would take 7 days to approve, missing the 24-hour seasonal discount window.

9.2 The Structured Loan Against Shares Solution (Pathway B)

A private commercial bank steps in to structure a corporate Loan Against Shares overdraft facility: 1. **Facility Sizing:** Mr. Mehta pledges his HUL shares (Category A blue-chip) electronically via NSDL. 2. **Haircut applied:** Strictly **50.00%** (complying with the RBI statutory minimum). 3. **Overdraft Limit Sanctioned: Rs 3,00,00,000 (Rs 3 Crores)**. Since the borrower is a corporate entity (MATPL), the Rs 20 Lakhs individual cap is completely bypassed. 4. **Drawdown Sized:** MATPL draws down **Rs 2,55,00,000 (Rs 2.55 Crores)** (equal to the procurement cost net of the 15% discount). 5. **Tenure:** Structured as a revolving overdraft limit for **120 Days**. 6. **Pricing:** Interest is priced at **9.50% p.a.** on a daily reducing balance basis. An upfront processing fee of **0.25%** is charged.

9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If MATPL had attempted to raise funding standalone without collateral or pledge, it would have faced: * Standalone unsecured interest rate of **18.00% p.a.** * Upfront processing fee of **2.00%** of the loan value. * Missed cash discount window due to a 5-day underwriting cycle.

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9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured Loan Against Shares Overdraft Pathway (Pathway B) in Indian Rupees over the 120-day project cycle:

Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured LAS Overdraft)
Invoice Value of Raw Materials	Rs 3,00,00,000.00	Rs 3,00,00,000.00
Upfront Vendor Cash Discount	Rs 0.00 *(missed TAT window)*	**-Rs 45,00,000.00** *(15% cash discount)*
Actual Capital Borrowed	**Rs 3,00,00,000.00**	**Rs 2,55,00,000.00**
Financing Interest Rate	18.00% p.a.	9.50% p.a.
Financing Tenure	120 Days	120 Days
Gross Interest Cost	**Rs 17,75,342.47**	**Rs 7,96,438.36** *(daily reducing balance)*
Upfront Processing Fee	Rs 6,00,000.00 *(2.00% of loan)*	Rs 63,750.00 *(0.25% of loan)*
Upfront GST on Fee (18%)	Rs 1,08,000.00 *(fully recoverable ITC)*	Rs 11,475.00 *(fully recoverable ITC)*
LTCG Tax Triggered on Share Sale	Rs 0.00 *(shares held)*	Rs 0.00 *(shares held)*
Total Opportunity-Adjusted Pre-Tax Cost	**Rs 3,23,75,342.47**	**Rs 2,18,60,188.36**
Corporate Income Tax Shield (25.17%)	**-Rs 5,97,872.95** *(applied to interest + fee)*	**-Rs 2,16,510.63**
Net Post-Tax Opportunity-Adjusted Cost	**Rs 3,17,77,469.52**	**Rs 2,16,43,677.73**
Net Strategic Savings Achieved	*Baseline*	**+Rs 1,01,33,791.79**
Effective Annualized Post-Tax Rate	**18.18% p.a.**	**7.11% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured LAS Overdraft Pathway (Pathway B)**, MATPL achieves an effective post-tax annualized borrowing rate of **only 7.11% p.a.**, compared to **18.18% p.a.** under the standalone route.

The “So What” Summary: This structured LAS program delivers **Rs 1,01,33,791.79 (Rs 1.01 Crores) in direct, post-tax cash savings** to MATPL on a single 120-day harvest cycle. More importantly, because the Rs 2.55 Crore capital was deployed securely through CDSL’s digital pledge network, Mr. Mehta successfully avoided a Rs 37.5 Lakh capital gains tax liability, retained 100% of his HUL voting shares, collected the upcoming dividend, and maximized MATPL’s operational profitability by securing the 15% raw material cash discount.

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Loan Against Shares Solutions in India.

Question 1

An individual borrower holds listed shares of a Category A company valued at Rs 50 Lakhs in their demat account. Under RBI regulations, what is the maximum loan amount they can raise against these shares under a bank's demat overdraft facility? * A) Rs 25 Lakhs, based on the 50% LTV regulatory ceiling. * B) Rs 20 Lakhs, due to the strict statutory borrowing cap for individuals. * C) Rs 10 Lakhs, as the bank enforces a standard 80% haircut. * D) Rs 35 Lakhs, as Category A shares qualify for a 70% LTV ceiling. * **Answer:** B * **Rationale:** Under RBI Master Directions, while the LTV ceiling for listed shares is 50% (which would mathematically yield Rs 25 Lakhs on a Rs 50 Lakhs portfolio), there is a strict statutory individual borrowing cap of **Rs 20 Lakhs** for loans against dematerialized shares. Therefore, the maximum loan amount is restricted to the lower of the two limits, which is Rs 20 Lakhs.

Question 2

A promoter group company pledges listed promoter shares valued at Rs 50 Crores to secure a working capital loan of Rs 25 Crores for its manufacturing subsidiary. Is this transaction compliant with the RBI's Rs 20 Lakhs individual borrowing cap against shares? * A) No, because the Rs 20 Lakhs cap applies universally to all borrowers including promoters. * B) Yes, because corporate entities, holding companies, and partnerships are completely exempt from the Rs 20 Lakhs individual borrowing cap. * C) No, because promoter shares are subject to lock-in periods under SEBI guidelines. * D) Yes, but only if the loan is backed by a physical property mortgage of equal value. * **Answer:** B * **Rationale:** RBI's statutory cap of Rs 20 Lakhs for loans against shares applies strictly to **individual borrowers** to prevent speculative retail leverage. **Corporate entities, holding companies, and promoter group firms are completely exempt from this cap**, allowing them to raise multi-crore corporate LAS or promoter funding limits for approved commercial purposes.

Question 3

An underwriter is assessing a portfolio of listed shares for a corporate LAS limit. Stock X has a promoter pledge ratio of 45% and a daily trading volume of Rs 2 Lakhs on the NSE. Stock Y has a promoter pledge ratio of 10% and a daily trading volume of Rs 2 Crores. How will the underwriter treat these two stocks? * A) Both stocks will be approved with a standard 50% haircut. * B) Stock X will be placed on the Exclusion List due to low liquidity and high promoter pledge; Stock Y will be approved. * C) Stock X will be approved with an 80% haircut; Stock Y will be rejected due to low margins. * D) Both stocks will be rejected as listed equities do not

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qualify for corporate refinancing. * **Answer:** B * **Rationale:** Credit policies for LAS enforce strict liquidity and volatility filters. Stock X will be rejected and placed on the bank's **Exclusion List** because its daily trading volume is below the standard Rs 10 Lakhs threshold (high liquidity risk) and its promoter pledge exceeds 30%. Stock Y meets all credit criteria (low pledge, high trading velocity) and will be approved.

Question 4

Under Indian law, when a borrower pledges dematerialized shares held in their CDSL demat account in favor of a commercial bank, where is this security charge legally registered and recorded? * A) With the Registrar of Companies (ROC) via Form CHG-1. * B) With the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI). * C) Directly in the electronic records of the depository (CDSL/NSDL) by marking a lien. * D) With the Securities and Exchange Board of India (SEBI). * **Answer:** C * **Rationale:** Under the **Depositories Act, 1996**, the pledge of dematerialized securities is legally created and registered by marking a **lien in the electronic records of the depository (NSDL or CDSL)**. Unlike physical property mortgages, CERSAI registration is not applicable for demat shares, though ROC filing remains mandatory if the borrower is a corporate entity.

Question 5

A borrower's secured LAS overdraft account has an outstanding balance of Rs 1 Crore. Following a sudden market correction, the value of the pledged shares drops, pushing the LTV ratio to 56%. What is the immediate operational action taken by the bank? * A) The bank immediately liquidates the entire portfolio on the NSE/BSE. * B) The bank classifies the account as a Non-Performing Asset (NPA). * C) The system triggers an automated margin call, notifying the borrower to deposit cash or pledge additional approved shares. * D) The bank freezes the promoter's voting rights in the company. * **Answer:** C * **Rationale:** When the LTV ratio exceeds the standard 50% threshold and reaches the **Margin Call trigger (typically 55%)**, the bank notifies the borrower to restore the margin. The bank will only initiate foreclosure and portfolio liquidation if the LTV hits the **critical threshold (typically 60%)** and the borrower fails to respond to the margin call.

Question 6

An upfront processing fee of Rs 50,000 is charged on a Rs 2 Crore corporate LAS limit. Over the 90-day cycle, the borrower pays Rs 4,50,000 in accrued interest on a daily reducing balance basis. What is the GST treatment for these two components? * A) Both the fee and interest attract 18% GST. * B) The processing fee attracts 18% GST; the interest is completely GST-exempt. * C) The processing fee is GST-exempt; the interest attracts 18% GST. * D) Both the fee and interest are completely GST-exempt. * **Answer:** B * **Rationale:** Under Indian GST guidelines, **upfront loan processing fees, commitment charges, and legal appraisal costs attract standard 18% GST** (which is fully recoverable by corporate borrowers via Input Tax Credit). In contrast, **borrowing interest is completely exempt from GST**, making reducing-balance interest highly cost-effective.

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Question 7

Under Section 36(1)(iii) of the Income Tax Act, 1961, under what condition is the interest paid on a Loan Against Shares facility fully deductible from a company's taxable corporate income? * A) Only if the loan is used to purchase speculative stocks on the exchange. * B) Only if the loan capital is utilized strictly for business operations, working capital, or strategic commercial expansions. * C) Interest is always deductible regardless of capital utilization. * D) Interest is never deductible as listed equities are considered capital assets. * **Answer:** B * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business purposes is a fully deductible business expense. To claim this tax shield, the borrower must demonstrate that the loan proceeds were utilized strictly for **commercial business operations** (and not for personal consumption or stock market speculation).

Question 8

A bank fails to conduct an annual credit review and renewal of an active corporate LAS overdraft facility. Under RBI's IRACP guidelines, after how many days of delay from the scheduled renewal due date will the limit be classified as a technical default NPA? * A) 90 Days * B) 120 Days * C) 180 Days * D) 365 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital and overdraft limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to a Non-Performing Asset (NPA).

Question 9

A promoter pledges listed shares of their company to secure a loan. During the loan tenure, the listed company declares a dividend of Rs 10 per share. Who is legally entitled to receive and retain this dividend payout? * A) The lending bank, as they hold a lien on the shares. * B) The depository (CDSL/NSDL) as the custodian. * C) The promoter (the borrower), as they retain beneficial ownership of the pledged shares. * D) The Registrar of Companies (ROC). * **Answer:** C * **Rationale:** A key advantage of Loan Against Shares is the **Compounding Preservation Principle**. Pledging shares marks a lien but does not transfer beneficial ownership. Therefore, **the borrower (promoter) continues to receive 100% of all dividends**, stock splits, bonus shares, and other corporate benefits during the loan tenure.

Question 10

Under RBI guidelines, if a commercial bank extends a loan against listed shares to an individual, what is the maximum Loan-to-Value (LTV) ratio (or minimum haircut) that can be applied to compute the credit limit? * A) 75% LTV (25% haircut) * B) 60% LTV (40% haircut) * C) 50% LTV (50% haircut) * D) 40% LTV (60% haircut) * **Answer:** C * **Rationale:** Under RBI Master Directions, to prevent systemic risk and stock market over-leverage, the maximum LTV ratio for bank loans against listed shares is strictly capped at **50.00%** (which is equivalent to a **minimum statutory haircut of 50.00%**). Banks can apply higher haircuts for riskier stocks, but cannot exceed 50.00% LTV under any circumstances.

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